Fabrinet (FN)

$551.97 (Stock Price as of 03/27/2026)

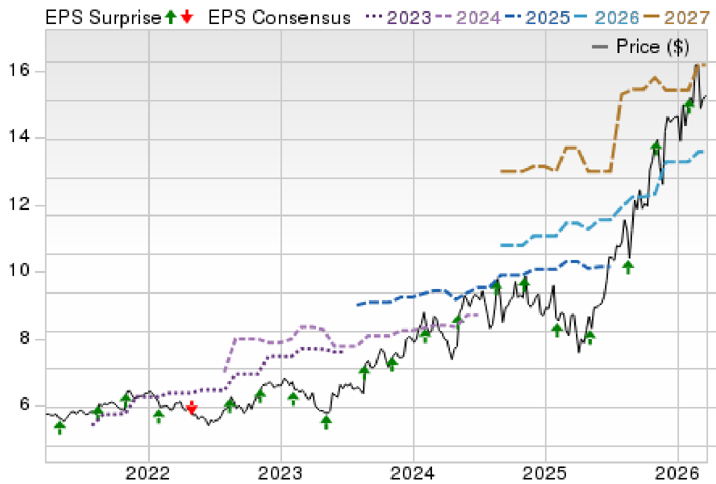
Price Target (6-12 Months): **$691.00**

Long Term: 6-12 Months	**Zacks Recommendation:** (Since: 02/05/26) Prior Recommendation: Neutral	**Outperform**
Short Term: 1-3 Months	**Zacks Rank:** (1-5) Zacks Style Scores: Value: F | Growth: C	**2-Buy** VGM: F Momentum: F

Summary

Fabrinet is well-positioned to outperform as synchronized AI infrastructure ramps across telecom/DCI (Datacenter interconnect), datacom, and High-Performance Computing (HPC), supported by debt-free capacity additions and operating leverage that offset forex headwinds. The HPC program is scaling with added automation and credible execution, with optionality to gain share as a qualified second source. Management cites strong visibility, with sequential growth expected and catalysts ahead as DCI accelerates, next-gen 800ZR nears production, and datacom constraints ease with second-source approvals. While currency headwinds, HPC ramp lumpiness, datacom supply risks and near-term auto softness could create choppy quarterly results, scale, cost discipline, and an EMS model that avoids margin stacking limit downside.

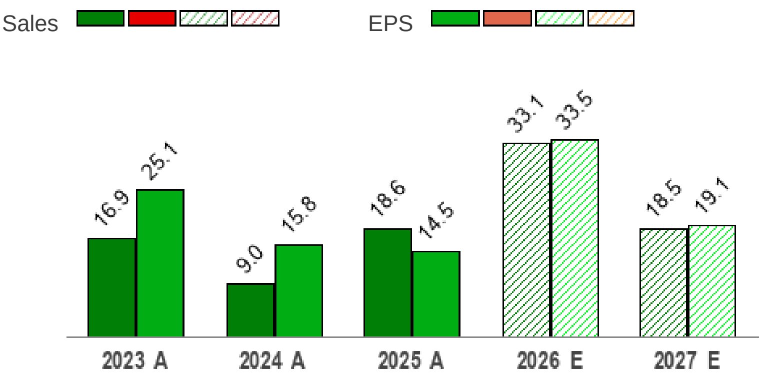
Price, Consensus & Surprise(1)



Data Overview

52 Week High-Low	**$632.99 - $148.55**
20 Day Average Volume (sh)	**690,902**
Market Cap	**$19.8 B**
YTD Price Change	**21.2%**
Beta	**1.01**
Dividend / Div Yld	**$0.00 / 0.0%**
Industry	**Electronics - Miscellaneous Components**
Zacks Industry Rank	**Top 32% (78 out of 244)**
Last EPS Surprise	**3.1%**
Last Sales Surprise	**5.0%**
EPS F1 Est- 4 week change	**0.0%**
Expected Report Date	**05/04/2026**
Earnings ESP	**0.0%**
P/E TTM	**48.2**
P/E F1	**40.7**
PEG F1	**1.6**
P/S TTM	**5.1**

Sales and EPS Growth Rates (Y/Y %)(1)



Sales Estimates (millions of $)(1)

	Q1	Q2	Q3	Q4	Annual*
2027	1,297 E	1,337 E	1,351 E	1,376 E	5,391 E
2026	978 A	1,133 A	1,187 E	1,252 E	4,550 E
2025	804 A	834 A	872 A	910 A	3,419 A

EPS Estimates(1)

	Q1	Q2	Q3	Q4	Annual*
2027	3.85 E	3.96 E	4.01 E	4.08 E	16.18 E
2026	2.92 A	3.36 A	3.58 E	3.77 E	13.58 E
2025	2.39 A	2.61 A	2.52 A	2.65 A	10.17 A

*Quarterly figures may not add up to annual.

(1) The data in the charts and tables, including the Zacks Consensus EPS and sales estimates, is as of 03/27/2026.
(2) The report's text and the price target are as of 03/25/2026.

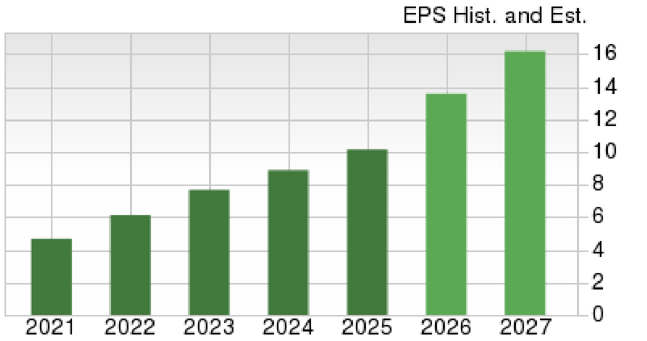
Overview

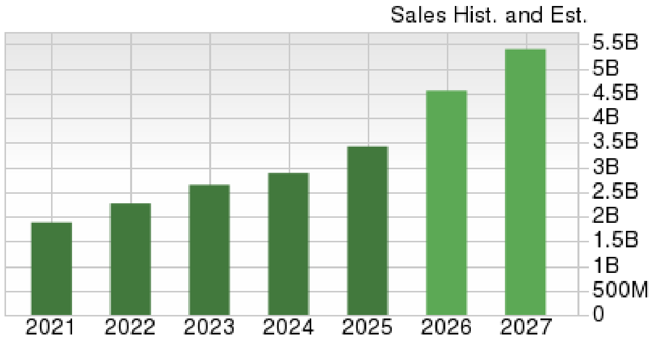
Fabrinet provides advanced optical packaging and precision optical, electro-mechanical and electronic manufacturing services to original equipment manufacturers of complex products. Offerings span process design and engineering, supply chain management, manufacturing, complex printed circuit board assembly, advanced packaging, integration, final assembly and testing. The company manufactures optical communication components, modules, and sub-systems, industrial lasers, automotive components, medical devices, sensors, and customized optics and glass used both in customer programs and the merchant market.

Fabrinet's business is anchored in optical communications alongside growing exposure to automotive, industrial laser, medical, and sensor markets. In fiscal 2025, total revenues were $3.42 billion, up 18.6% from fiscal 2024. Optical communications contributed 76.6% of revenues while non-optical markets accounted for 23.4%.

In fiscal 2025, North America represented 43.4% of revenues, Asia-Pacific 48.4%, and Europe 8.2%. Fabrinet manufactures a wide variety of high-complexity products and often serves as the sole outsourced manufacturing partner for certain programs, supported by extensive engineering engagement, rigorous product transfer and qualification, and large-scale low-cost production rooted in its Thailand campuses.

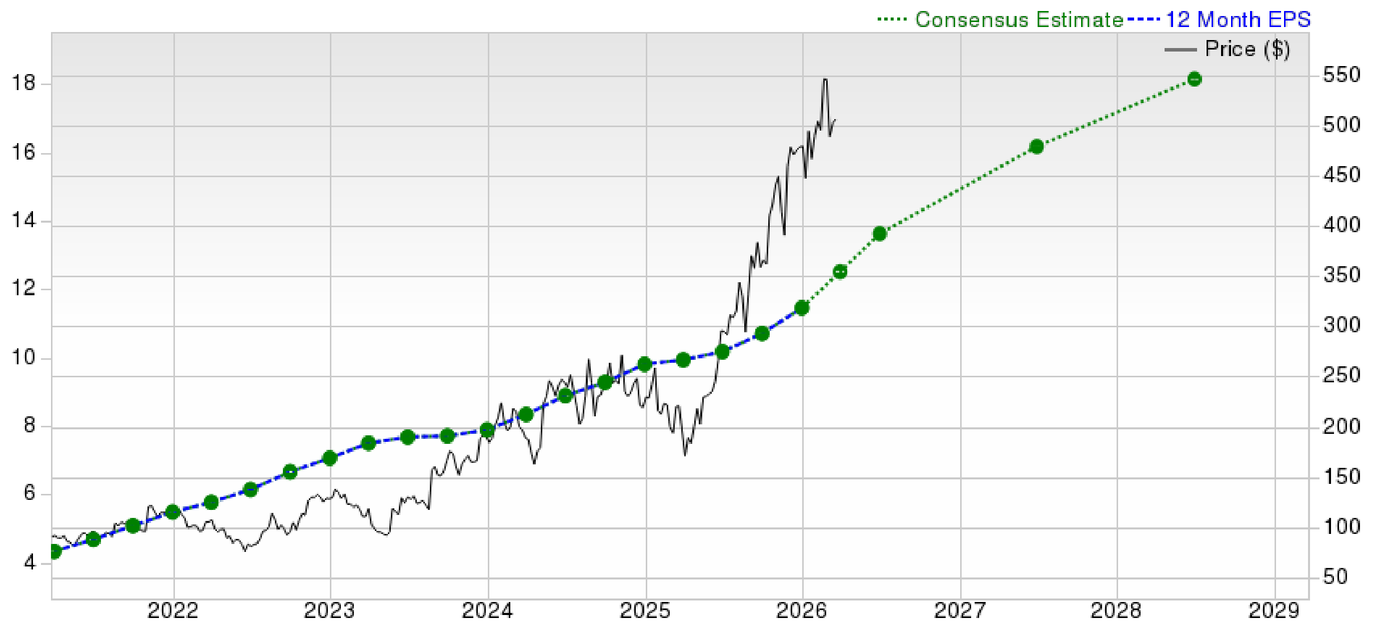
Customer concentration is characteristic of Fabrinet's served markets. In fiscal 2025, NVIDIA and Cisco Systems accounted for 27.6% and 18.2% of revenue, respectively.





As of 03/27/2026

Fabrinet faces competition from the likes of Benchmark Electronics, Celestica, InnoLight Technology, Jabil, Sanmina and Venture Corporation for optical manufacturing services. The company faces competition from CASTECH, Excelitas Technologies, and Photop Technologies in the customizable optics and glass operations.



As of 03/27/2026

Reasons To Buy:

- Fabrinet is leveraged to synchronize ramps across telecom/DCI, datacom and HPC. In the second quarter of fiscal 2026, HPC contributed $85.6 million, and management expects the current program to exceed $150 million per quarter within the next couple of quarters, with double-digit sequential growth guided for the third quarter of fiscal 2026. Fabrinet is currently a second source on the AWS program, but can gain share if it exceeds expectations for cost, quality, and deliveries. Telecom/DCI demand is characterized as durable, with DCI expected to accelerate sequentially in the fiscal third quarter, while next-gen 800ZR products have yet to ramp, offering incremental upside when production begins. Datacom is also guided to grow sequentially in the fiscal third quarter as supply constraints ease after second-source EML approval. With management citing the strongest visibility they have had historically, these overlapping drivers point to sustained expansion and share gains into late fiscal 2026.

> Synchronized ramps in telecom/DCI, datacom, and HPC with debt-free capacity and a robust next-gen optics pipeline bode well for Fabrinet's prospects.

- Capacity is being added ahead of visible demand, reducing bottleneck risk. Building 10 (2.0 million sq. ft.) remains on schedule, with approximately 250,000 sq. ft. ready by the end of June 2026 and the balance completed through calendar 2026, while Pinehurst's ~120,000 sq. ft. office-to-factory conversion is underway now and supports over $150 million of annual revenue capacity, subject to mix. These projects are funded with no debt, with indicative capital of about $130 million for Building 10 and management citing roughly 40% ROIC on growth investments. Even if absorption lags, the downside is limited to an estimated ~15 bps gross margin headwind, positioning the company to capture multi-year optical and compute demand.

- Record second-quarter fiscal 2026 revenues and earnings exceeded guidance on execution and leverage. Third-quarter fiscal 2026 guidance indicates continued top-line growth with non-GAAP earnings between $3.45 per share and $3.60 per share despite a 20-30 bps gross margin headwind from forex. Fabrinet plans to offset most of the currency pressure through operating leverage and disciplined operating expenses, building on multi-quarter margin expansion, while maintaining a strong balance sheet ($961 million in cash and short-term investments at the end of the fiscal second quarter) and flexibility with a remaining $169 million repurchase authorization. This combination of scale, cost control, and liquidity supports resilient earnings delivery as revenue rises across telecom/DCI, datacom, and HPC through the coming quarters.

- Beyond near-term ramps, Fabrinet's pipeline adds multi-year optionality. In datacom, programs to build transceivers for hyperscalers directly and for merchant vendors are described as quarters away, not years, from meaningful revenue. In telecom/DCI, next-gen 800ZR has not yet ramped, preserving an additional catalyst as products move to production. Engagements in co-packaged optics with three customers and in optical circuit switching further extend the opportunity set, with timing explicitly tied to customer roadmaps. Coupled with a pure-play EMS model that avoids margin stacking and does not compete with customers' products, these developments should translate into new high-value programs that layer on top of fiscal 2026's growth drivers.

Risks[2]

- The automotive end-market softened modestly in the second quarter of fiscal 2026 and is expected to decline modestly again in the fiscal third quarter, weighing on non-optical momentum. Within telecom, next-gen 800ZR products are described as yet to ramp, deferring an incremental catalyst until production starts. Together, these effects can intermittently dilute operating leverage and margin expansion despite strong aggregate demand, as utilization and mix fluctuate from quarter to quarter. Given Fabrinet management's acknowledgement that leading-edge product ramps can be lumpy, these staggered timelines raise the risk that reported results remain choppy through calendar 2026, especially if multiple segments do not inflect simultaneously or if absorption of newly added capacity proceeds more gradually than anticipated.

- The HPC program is scaling quickly but remains early in its lifecycle. Management noted only two quarters of reported revenue (fiscal first and second quarters) and cautioned that the ramp is lumpy, with fiscal third-quarter growth expected to be double-digit but not as large a sequential step as fiscal second quarter. Additional automated lines are still being qualified, and Fabrinet is a second source on the current AWS-related program, with any share gains contingent on continued excellence in cost, quality, and deliveries. Delays in qualification, yield learning curves, or missed execution milestones could push out achieving a quarterly run-rate north of $150 million within the next couple of quarters, tempering the growth cadence.

- Datacom growth depends on improving supply at the leading edge. While second-source EML approval is expected to ease constraints beginning in the third quarter of fiscal 2026, prior shortages limited shipments of 200G/lane optics supporting 800G and 1.6T. If the newly approved source scales slower than expected, or if yields/throughput underperform, anticipated sequential growth could lag plan, particularly for hyperscaler-focused programs. Such constraints can also shift mix and utilization, dampening operating leverage in the short term. With new builds described as quarters away from materiality, any renewed bottlenecks would delay revenue conversion from design activity to volume production, increasing variability around quarterly datacom results despite healthy end-demand.

- Unfavorable forex remains a tangible earnings headwind. Third-quarter fiscal 2026 guidance embeds a headwind from currency despite hedging, and second-quarter fiscal 2026 included a $3 million below-the-line forex revaluation loss. While Fabrinet intends to offset most pressure through operating leverage and cost discipline, persistent baht strength or renewed volatility could compress margins and reduce reported earnings. Importantly, below-the-line revaluation effects are not forecastable and may recur, introducing noise into quarterly results even if operations remain strong. Near-term, this dynamic could partially dilute the benefit from sequential revenue growth across telecom/DCI, datacom and HPC, and constrain upside to earnings versus guidance.

Last Earnings Report

Key Highlights

- Revenue: $1.13 billion, up 36% year over year and 16% sequentially
- EPS: Non-GAAP earnings of $3.36 per share, up 29% year over year
- Cash and short-term investments $961.5 million at Q2-end.
- $169 million share repurchase authorization remaining.

FY Quarter Ending	6/30/2025
Earnings Reporting Date	**Feb 02, 2026**
Sales Surprise	**5.03%**
EPS Surprise	**3.07%**
Quarterly EPS	**3.36**
Annual EPS (TTM)	**11.45**

Fabrinet delivered strong second-quarter fiscal 2026 non-GAAP earnings of $3.36 per share that beat the Zacks Consensus Estimate by 3.07%. Revenues of $1.13 billion surpassed the consensus mark by 5.03%. The figure jumped 36% year over year and 16% sequentially.

Segment Performance

Optical communications revenues reached $832.6 million, up 29% year over year, driven by Telecom at $412.2 million, up 66.2% year over year and DCI modules of $142.2 million, up 42.1% year over year, reflecting durable demand across market-leading customers. Datacom revenues of $278.1 million dropped 7% year over year but improved 2% sequentially as supply constraints began easing following second-source EML laser approval.

Non-optical revenues surged 61% year over year to $300.3 million, underpinned by HPC revenues of $85.6 million and steady growth in Automotive (up more than 12.2% year over year) and Industrial Lasers (up more than 10.4% year over year). Fabrinet's management expects the current HPC program to exceed $150 million per quarter when fully ramped over the next couple of quarters.

Operating Details

GAAP gross margin expanded 10 basis points (bps) to 12.2% in the reported quarter. Non-GAAP gross margin of 12.4% was unchanged on a year-over-year basis.

Non-GAAP operating margin expanded 30 bps on a year-over-year basis to 10.9%. Fiscal second quarter results included roughly $3 million (nearly 9 cents per share) below-the-line forex-related revaluation loss.

Balance Sheet and Capital Allocation

As of Dec. 26, 2025, cash, cash equivalents, and short-term investments (including restricted cash) were $961.5 million. Fabrinet had no debt in its balance sheet.

The company generated $46.3 million in cash flow from operating activities in the reported quarter compared with $102.6 million in the previous quarter.

Cash flow from operating activities in the first half of fiscal 2026 totaled $148.8 million. Capital expenditures reached $52 million in the second quarter of fiscal 2026 (first half spending was $96.9 million), reflecting accelerated capacity expansion. Building 10 (2.0 million sq. ft.) remains on track with ~250,000 sq. ft. ready by end-June 2026 and full completion through calendar year 2026.

Pinehurst campus conversion (~120,000 sq. ft.) is underway and expected to support over $150 million of annual revenue capacity. Fabrinet cited ~40% ROIC on growth investments and confidence in filling new capacity.

Share repurchases totaled roughly $5 million in the reported quarter, with $169 million authorization remaining.

Guidance

For the third quarter of fiscal 2026, Fabrinet guided revenue of $1.15-$1.20 billion (midpoint ~35% year-over-year growth) and non-GAAP earnings of $3.45-$3.60 per share.

Sequential growth is expected in Telecom, Datacom and HPC, with automotive modestly lower. Management anticipates the forex headwind to be substantially offset through operating leverage and tight operating expense control in the current quarter.

Recent News

On Oct. 17, Fabrinet announced the retirement of founder and Chairman David T. ("Tom") Mitchell after 25 years of leadership. Mitchell founded the company in 2000 and served as CEO and Chairman through 2017, returning to the Chair role in 2018.

Valuation

Fabrinet shares have risen 25.6% over the past three months and 187.9% over the past year. Stocks in the Zacks sub-industry are up 5.7% while the same in the Zacks Computer and Technology sector are down 7.6% over the past three months. Over the past year, the sub-industry and sector are up 61.7% and 28.6%, respectively.

The S&P 500 index is down 5.7% over the past three months and 17.6% over the past year.

The stock trades at 38.8X forward 12-month earnings, compared with 23.31X for the Zacks sub-industry, 22.7X for the Zacks sector, and 20.72X for the S&P 500 index. Over the past five years, the shares have traded as high as 42.96X and as low as 12.26X, with a 5-year median of 21.43X.

Our Outperform recommendation indicates that the stock will perform better than the market. Our $691 price target reflects 44.62X forward 12-month earnings.

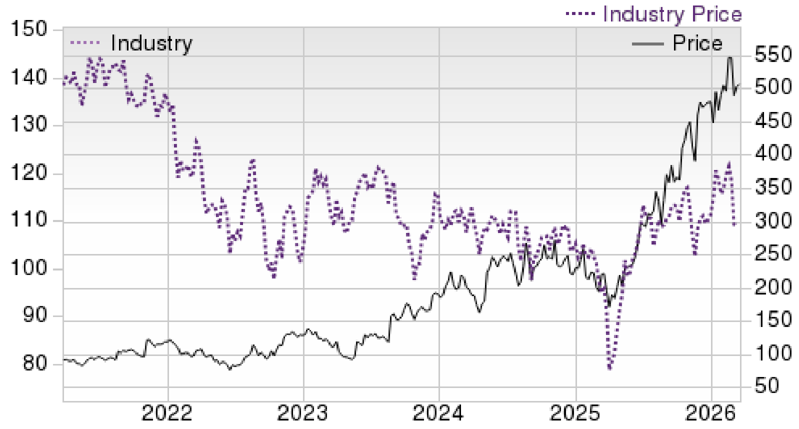
The table below shows summary valuation data for FN

Valuation Multiples - FN

		Stock	Sub-Industry	Sector	S&P 500
P/E F12M	Current	38.8	23.31	22.7	20.72
	5-Year High	42.96	23.97	29.9	23.8
	5-Year Low	12.26	14.1	18.67	15.73
	5-Year Median	21.43	19.03	26.11	21.19
EV/Sales TTM	Current	5.28	2.91	7.17	5.31
	5-Year High	5.42	3.16	8.44	5.83
	5-Year Low	1.04	1.57	4.24	3.76
	5-Year Median	1.92	2.25	7	5.12
P/B TTM	Current	9.85	3.56	9.17	7.68
	5-Year High	10.1	3.88	11.79	9.15
	5-Year Low	2.26	1.97	6.65	6.59
	5-Year Median	3.77	2.73	9.79	8.09

As of 03/24/2026 *Source: Zacks Investment Research*

Industry Analysis[1] **Zacks Industry Rank:** Top 32% (78 out of 244)



Top Peers [1]

Company (Ticker)	Rec	Rank
Lumentum Holdings In...**(LITE)**	Outperform	1
TTM Technologies, In...**(TTMI)**	Outperform	2
Vicor Corporation **(VICR)**	Outperform	1
CTS Corporation **(CTS)**	Neutral	2
Littelfuse, Inc. **(LFUS)**	Neutral	2
nVent Electric PLC **(NVT)**	Neutral	2
OSI Systems, Inc. **(OSIS)**	Neutral	3
TE Connectivity Ltd. **(TEL)**	Neutral	2

Industry Comparison[1] Industry: Electronics - Miscellaneous Components

Industry Peers

	FN	X Industry	S&P 500	NVT	TEL	TTMI
Zacks Recommendation (Long Term)	Outperform	-	-	Neutral	Neutral	Outperform
Zacks Rank (Short Term)	2	-	-	2	2	2
VGM Score	F	-	-	D	B	C
Market Cap	19.77 B	550.07 M	38.90 B	18.92 B	59.31 B	9.91 B
# of Analysts	3	2	22	6	7	3
Dividend Yield	0.00%	0.00%	1.52%	0.72%	1.40%	0.00%
Value Score	F	-	-	D	C	D
Cash/Price	0.05	0.14	0.04	0.01	0.02	0.05
EV/EBITDA	46.56	11.11	13.42	24.29	15.28	25.49
PEG Ratio	1.56	1.42	1.76	1.23	1.54	NA
Price/Book (P/B)	9.05	1.60	3.29	5.07	4.57	5.60
Price/Cash Flow (P/CF)	51.42	17.13	13.72	24.94	17.28	26.55
P/E (F1)	40.65	26.04	17.87	28.51	18.49	29.47
Price/Sales (P/S)	5.08	1.91	3.01	4.86	3.28	3.41
Earnings Yield	2.46%	3.49%	5.59%	3.50%	5.41%	3.39%
Debt/Equity	0.00	0.08	0.56	0.41	0.37	0.52
Cash Flow ($/share)	10.73	0.60	9.62	4.69	11.70	3.60
Growth Score	C	-	-	C	A	A
Hist. EPS Growth (3-5 yrs)	22.81%	6.43%	7.51%	15.32%	8.38%	15.91%
Proj. EPS Growth (F1/F0)	33.53%	18.03%	9.87%	22.39%	24.77%	31.71%
Curr. Cash Flow Growth	12.59%	6.20%	7.92%	33.84%	9.29%	23.54%
Hist. Cash Flow Growth (3-5 yrs)	20.55%	7.33%	8.87%	16.17%	2.65%	9.47%
Current Ratio	2.68	2.68	1.19	1.63	1.65	1.93
Debt/Capital	0.00%	9.44%	38.05%	29.30%	27.82%	34.11%
Net Margin	9.69%	4.52%	12.73%	18.25%	11.41%	6.11%
Return on Equity	18.69%	5.95%	17.16%	15.18%	22.72%	13.30%
Sales/Assets	1.33	0.72	0.53	0.57	0.73	0.80
Proj. Sales Growth (F1/F0)	33.10%	0.84%	5.59%	16.80%	11.50%	16.50%
Momentum Score	F	-	-	C	F	D
Daily Price Chg	0.41%	0.00%	-1.67%	-1.23%	-0.52%	-0.48%
1 Week Price Chg	0.82%	-1.70%	-3.60%	5.79%	-1.79%	0.99%
4 Week Price Chg	-1.86%	-5.70%	-7.82%	-3.95%	-14.27%	-11.24%
12 Week Price Chg	21.24%	2.42%	-6.96%	14.72%	-11.15%	38.36%
52 Week Price Chg	167.17%	22.94%	11.87%	114.29%	37.41%	343.22%
20 Day Average Volume	690,902	55,646	3,196,808	2,594,579	2,359,473	1,884,751
(F1) EPS Est 1 week change	0.00%	0.00%	0.00%	0.10%	0.00%	0.00%
(F1) EPS Est 4 week change	0.00%	0.00%	0.00%	-0.02%	0.00%	0.00%
(F1) EPS Est 12 week change	2.50%	2.50%	0.47%	3.16%	3.56%	14.16%
(Q1) EPS Est Mthly Chg	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%

Zacks Stock Rating System

We offer two rating systems that take into account investors' holding horizons: Zacks Rank and Zacks Recommendation. Each provides valuable insights into the future profitability of the stock and can be used separately or in combination with each other depending on your investment style.

Zacks Recommendation

The Zacks Recommendation aims to predict performance over the next 6 to 12 months. The foundation for the quantitatively determined Zacks Recommendation is trends in the company's estimate revisions and earnings outlook. The Zacks Recommendation is broken down into 3 Levels; Outperform, Neutral and Underperform. Unlike many Wall Street firms, we have an excellent balance between the number of Outperform and Neutral recommendations. Our team of 70 analysts are fully versed in the benefits of earnings estimate revisions and how that is harnessed through the Zacks quantitative rating system. But we have given our analysts the ability to override the Zacks Recommendation for the 1200 stocks that they follow. The reason for the analyst over-rides is that there are often factors such as valuation, industry conditions and management effectiveness that a trained investment professional can spot better than a quantitative model.

Zacks Rank

The Zacks Rank is our short-term rating system that is most effective over the one- to three-month holding horizon. The underlying driver for the quantitatively-determined Zacks Rank is the same as the Zacks Recommendation, and reflects trends in earnings estimate revisions.

Zacks Style Scores

The Zacks Style Score is as a complementary indicator to the Zacks rating system, giving investors a way to focus on the highest rated stocks that best fit their own stock picking preferences.

Academic research has proven that stocks with the best Value, Growth and Momentum characteristics outperform the market. The Zacks Style Scores rate stocks on each of these individual styles and assigns a rating of A, B, C, D and F. We also produce the VGM Score (V for Value, G for Growth and M for Momentum), which combines the weighted average of the individual Style Scores into one score. This is perfectly suited for those who want their stocks to have the best scores across the board.

Value Score	F
Growth Score	C
Momentum Score	F
VGM Score	F

As an investor, you want to buy stocks with the highest probability of success. That means buying stocks with a Zacks Recommendation of Outperform, which also has a Style Score of an A or a B.

Disclosure

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